CASE FILE 09

Marquee Cinemas

Product line: monthly movie passes

Marquee Cinemas runs four movie theaters around Chicagoland. To compete with streaming, Marquee is launching monthly passes and wants a different pass for each kind of moviegoer.

Your job: Build a lineup of three versions, one for each segment below. For every version, choose its features and set its price. Your goal is the most total profit across all three.

THE MARKET: THREE SEGMENTS

Marquee Cinemas surveyed people in the Chicago area. The survey split them into three groups. Read the profiles, then give each segment a name.

SEGMENT A 15,000 potential customers	SEGMENT B 9,000 potential customers	SEGMENT C 3,000 potential customers
• Ages 13 to 22, goes with a group of friends • Sees 2 to 4 movies a month • On a tight budget, loves concessions *"Fridays are movie night. Every Friday."*	• Parents with 2 or more kids under 13 • Goes about twice a month, usually weekends • Spends the most on tickets for the whole group *"Taking a family of five to the movies costs a fortune."*	• Ages 20 to 45, sees every major release • Follows release dates and fan theories online • Will drive farther for the best screen *"If it's not IMAX, why did I leave the house?"*
Our name for them: _____	**Our name for them:** _____	**Our name for them:** _____

PRODUCT BASICS

Base cost of every version	$6 per member per month, before any features are added
Price options	$8 $12 $16 $22 $28 $38 (each version must use one of these prices)

WARM-UP: READ THE DATA FIRST

1. Which segment has the most must-have features (60% or higher)? How many does it have?

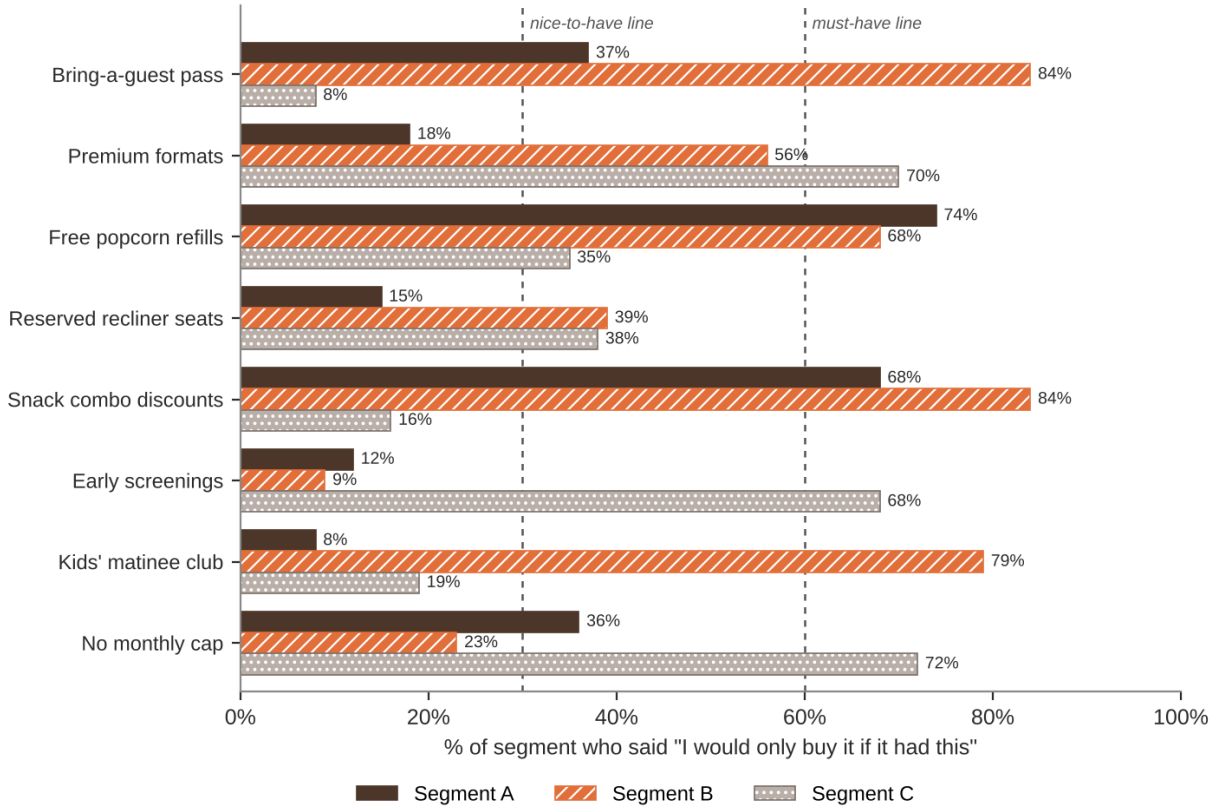
2. What is the most expensive feature on the menu? Which segment, if any, says it is a must-have?

3. What is the lowest price at which fewer than half of Segment B would buy?

4. If Marquee Cinemas sold a version with a Fit of 100% to Segment A at $16, how many people would buy it?

SURVEY RESULTS: WHAT EACH SEGMENT REQUIRES

Question asked: "Which of these would a monthly movie pass need to have before you would buy it?"



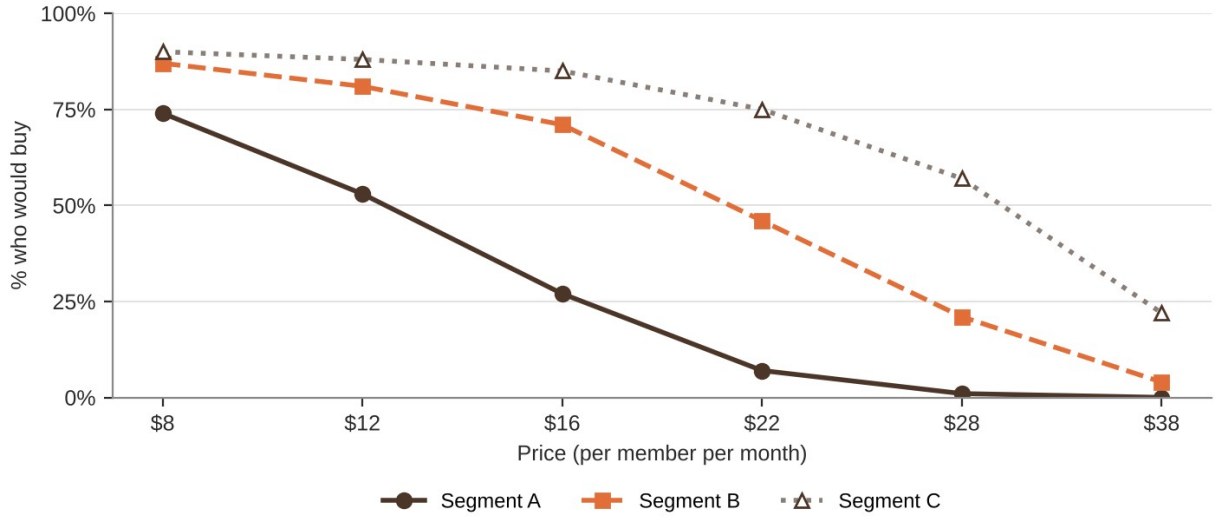
FEATURE MENU

Every feature you add raises your cost per member per month. Add a feature to any version you want.

Feature	What it is	Cost to add
Bring-a-guest pass	One free guest ticket each month	$4
Premium formats	IMAX and 3D shows included	$5
Free popcorn refills	Unlimited refills on any popcorn	$1.50
Reserved recliner seats	Pick your seat when you buy	$2
Snack combo discounts	20% off snack combos	$1
Early screenings	See big movies the night before	$3
Kids' matinee club	Saturday morning kids' movies	$1
No monthly cap	Unlimited movies instead of 3 a month	$6

SURVEY RESULTS: WHAT EACH SEGMENT WILL PAY

Question asked: "If it had everything you need, would you buy it at this price?"



% of each segment who would buy at each price

Price	$8	$12	$16	$22	$28	$38
Segment A	74%	53%	27%	7%	1%	0%
Segment B	87%	81%	71%	46%	21%	4%
Segment C	90%	88%	85%	75%	57%	22%

QUICK RULES

Must-have	A feature that 60% or more of a segment requires. Leave one out and that segment's buyers are cut in half. Leave two out and they're cut in half again.
Nice-to-have	A feature that 30% to 59% of a segment requires. Each one you include adds 5% to Fit.
Under 30%	That segment doesn't care. It adds cost and nothing else.
Fit	Start at 100%. Add 5% for each nice-to-have included. Then cut in half for each must-have left out.
Buyers	Segment size × % who would buy at your price × Fit. Round to a whole number.
Profit	Buyers × (Price − Unit cost). Unit cost = base cost + cost of every feature you added.